Shilpa Medicare Ltd

Concall Tracker, Q1 2027 update | Screener ticker SHILPAMED | Complex pharma: APIs, specialty formulations, biologics, CDMO | Covers calls up to the Q1 FY27 call (5 Aug 2026)

1. Snapshot

What it does: Shilpa Medicare makes hard-to-copy medicines. It sells APIs (active pharmaceutical ingredients, the raw drug chemical inside a pill), finished formulations (tablets, injections, skin patches) mostly through partners abroad, biologics and biosimilars (drugs grown from living cells, mainly for cancer and eye disease), and CDMO work (contract development and manufacturing, building molecules to order for other drug firms). It also earns licensing fees when partners take its products.

Reading note: Screener's tables are the parent-only accounts, which understate the group because the main API business sits in a subsidiary. Figures below are the consolidated numbers management gave on the call.

Figure	Value	Plain read
Market value	Rs 18,468 cr	What the market values the company at, up from about Rs 11,900 cr at our last report. The stock has run hard.
Q1 FY27 revenue (Apr-Jun 2026)	Rs 469 cr	Group sales in the quarter, up 43% on last year. Fourth record quarter in a row.
EBITDA (operating profit before interest, tax, depreciation)	Rs 139 cr, 30% margin	About Rs 30 of every Rs 100 of sales is operating profit. Up 42% on last year.
Net profit	Rs 101 cr	Up 115%, but flattered by a one-off tax credit from switching to the new tax regime. Operating profit before tax was Rs 92 cr vs Rs 50 cr, which is the cleaner read.
Net debt / EBITDA	1.3x	Debt is about one year's operating profit. It was 6.7x three years ago. Credit rating upgraded to AA-.
ROCE	12.5% (18.3% excluding biologics and new drugs)	Return on capital. The newer divisions still drag the blended figure down because their plants aren't full yet.

2. Concall coverage

Quarter	Call date	Transcript read?
Q2 FY24 → Q3 FY26 (11 calls incl. Jul 2024 special call)	Nov 2023 - Feb 2026	Carried forward from the Q4-2026 report
Q4 FY26 (prior report's boundary)	22 May 2026	Carried forward from the Q4-2026 report
Q1 FY27 (Apr-Jun 2026)	**5 Aug 2026**	**Newly deep-read in full ★**

Only the Q1 FY27 call was read in full this time. The three-year backstory comes from our Q4-2026 report.

2b. Latest concall highlights, Q1 FY27 (call 5 Aug 2026) ★

- **Best quarter ever, and broad.** Revenue +43%, EBITDA +42%. API Rs 260 cr (+15%, outside customers also +15%), formulations Rs 198 cr (more than doubled, base business ex-licensing +112%, led by US complex products), biologics Rs 52 cr (+42%).
- **Margins held** at about 30% even though gross margin dipped on costlier raw materials. Management still won't give guidance and says it expects margins "in a similar range". It's choosing to under-promise.
- **Pipeline dates:** Aflibercept (eye biosimilar) launch in India in FY27 with three Indian partners; Nivolumab (cancer biosimilar) partnered with Orion for Europe, India launch FY28; Rotigotine patch approved in Europe, US launch FY28; three more complex US launches in FY28; three CDMO new-drug programmes to go commercial in FY28; albumin human trials start this year.
- **One more setback:** the Unicycive kidney drug, where Shilpa is the manufacturer, got a US FDA rejection letter (CRL). The partner plans to refile. This was already downgraded last quarter.
- **Tone:** confident ("the reinvesting is largely behind us, the harvesting is ahead"). Says no big new capex is needed for about three years outside API.

2c. Business mix & capacity

Segment mix (Q1): API about half, formulations about two-fifths, biologics about a tenth of segment sales. Formulations is now nearly level with API.
Domestic vs export: not given as a clean split. Mostly overseas: biologics CDMO is largely foreign customers, US sales are about Rs 45 cr a year, and Europe and licensing are export income.
Capacity: no utilisation figure given (referred to investor relations). API plants are running high, so new peptide capacity is being added (ready end FY27). Biologics and formulation plants have lots of spare room, which is why management says profit can grow faster than spending.

2d. Since our last report ★

Builds on the Q4-2026 report (boundary call 22 May 2026). Prior verdicts: **Trigger YES**, **Consistency MAYBE (leaning positive)**.

Prior read	What we said then	What the new call shows	Movement
Earning trigger	Platform finally earning: formulations, deleveraging, Nor-UDCA	Growth sped up to +43%, every segment grew, debt ratio down again	Confirmed
Consistency	Delivers on the big numbers, hypes then drops named deals	Numbers delivered again; Unicycive slipped further	Unchanged
API recovery	Base API flat for over a year, "mid-teens possible"	Outside-customer API +15%	Improving
Unicycive / OLC deal	"No meaningful FY27 contribution"	US FDA rejection; partner to refile	Slipping
US FDA warning letter (Jadcherla)	Unresolved for years	Not raised on this call by anyone	No update
Licensing reliance	About half of profit from lumpy fees	Base formulation sales (ex-licensing) grew faster than total	Improving
Valuation	~51x earnings, rich	Market value up about half since	Pricier

Verdict change: both unchanged. The trigger looks stronger, with less reliance on licensing fees. The consistency read doesn't move up because another named partner deal slipped and the FDA issue got no update.

3. Earning trigger thesis ★

Shilpa spent years and a lot of borrowed money building complex products and plants. Those plants are now filling up. Sales rise faster than costs, debt keeps falling, and management says no big new spending is needed for about three years outside API. This quarter the growth came from product sales, not one-off licence fees, which makes it more believable. The next leg is a list of dated launches in FY27-FY28.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Specialty formulations	Complex, few-competitor products; Nor-UDCA strong orders	Formulations doubled; US up sharply; Europe lumpy	Now-FY28	Strong	↑ base business, not fees
Operating leverage on built plants	"Harvesting is ahead"; no big capex for 3 yrs	EBITDA +42% on stable margin; ROCE rising	Now-3 yrs	Strong	↑ new, clearly stated
APIs incl. CDMO and peptides	3 CDMO new drugs commercial in FY28; peptide block end FY27	API +15%; 20+ CDMO clients, 25+ programmes	FY27-FY28	Moderate	↑ recovery showing
Biologics / biosimilars	Aflibercept India FY27; Nivolumab Europe via Orion	Biologics +42%, now profit-positive	FY27-FY29	Moderate-Unproven	↑ dated launches
Partner new-drug deals (Unicycive)	Milestones and supply	FDA rejected; refile planned	Uncertain	Weak	↓ further slip

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24-FY26 (carried forward)	Cut debt, lift margins, grow profit, launch Nor-UDCA	All done; net debt/EBITDA now 1.3x	Delivered
Jul 2024 → Aug 2026	Unicycive/OLC milestones, "big values next year"	Downgraded in May; FDA rejection letter by Aug	Missed
FY24 → FY27	Base API to recover	Outside-customer API +15% in Q1	Delivered (late)
FY24 → FY27	Resolve the US FDA warning letter	Still no resolution reported	Missed
FY24 → FY27	Albumin into clinic	"Confident of starting human studies this year"	Too early (slipped before)
May 2026	Margins around 29-30%, no guidance	30% held through a raw-material squeeze	Delivered
May 2026	Aflibercept Europe shelved; India focus	India launch FY27 with three partners	On track

Narrative drift: the big story ("integrated platform, now monetising") hasn't changed in three years and the numbers keep backing it. The pattern from last time also hasn't changed: specific partner-led catalysts tend to slip. Management's answer is to give fewer specifics. It refused product-level numbers for Nor-UDCA and partner timelines several times on this call. That avoids over-promising, but it also makes promises harder to check.

5. Bottom line

Durable earning trigger? → YES

vs last quarter: unchanged (firmer)

Last quarter's main worry was that a big chunk of profit came from lumpy licence fees. This quarter the base business did the heavy lifting, every segment grew, and margins held through a cost squeeze. The plants built over the last five years still have room, so profit should keep growing faster than spending. The risk has shifted to the price: the stock now values these gains richly, and any regulatory hit would hurt.

Management consistent? → MAYBE vs last quarter: unchanged

On the measurable things (debt, margins, profit, API recovery) management keeps delivering. But the Unicycive deal slid again, albumin has slipped before, and the long-running FDA warning letter went undiscussed. With guidance now mostly withheld, the FY27-FY28 launch dates are the promises to check next.

Sources: Shilpa Medicare Q1 FY27 earnings-call transcript (5 Aug 2026) via Screener.in; Screener market data; earlier history carried forward from the Q4-2026 concall-tracker report. Consolidated figures as stated by management. This is not investment advice; do your own due diligence.